

# ReferMe Investments

## Building a Practical Investment Evaluation Framework for Better Decision-Making

### Project Overview

ReferMe Investments needed a more structured way to evaluate businesses and investment opportunities. A large amount of information could be collected about a company, but the real challenge was deciding which information mattered, how different factors should be compared, and how the final assessment could be presented clearly to decision-makers.

I worked on this engagement as a Business Analyst, with a focus on translating the investment evaluation process into a practical and measurable framework.

Instead of treating every available metric as equally important, I organized the evaluation around the areas that would actually influence an investment decision: financial strength, operational performance, growth, customer health, and risk.

The result was a framework containing 28 KPIs, supported by a proposed 0–100 Investment Score and a Power BI reporting structure that could give decision-makers both a quick summary and the ability to investigate the underlying numbers.

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### The Problem

Investment decisions rarely depend on a single metric.

A business may have strong revenue growth but weak margins. Another may be profitable but heavily dependent on a small number of customers. A third may perform well financially while showing operational or risk indicators that need closer attention.

Looking at these measures independently makes comparison difficult.

The main problem I worked on was:

**How can we bring different business indicators together in a consistent way so that investment opportunities can be compared without hiding the factors behind the final decision?**

There were three practical challenges behind this.

First, the available information needed to be converted into a manageable set of decision-relevant measures.

Second, financial and non-financial indicators needed to be considered together.

Third, the final output had to remain understandable. A score alone would not be enough. Decision-makers needed to know what was driving that score.

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## My Role

As the Business Analyst on the project, my responsibility was to understand the evaluation process and convert it into a structured decision framework.

My work included:

- understanding the information required to assess an investment opportunity;
- identifying and defining relevant KPIs;
- grouping KPIs into meaningful evaluation areas;
- designing the proposed scoring approach;
- defining how results should be interpreted;
- translating business requirements into dashboard requirements;
- planning the Power BI reporting structure;
- considering how risk indicators and exceptions should be surfaced;
- documenting the solution so that the logic behind the assessment remained clear.

The important part of the work was not simply creating a dashboard. The dashboard was the final presentation layer. Most of the work happened before that: deciding what should be measured and how those measures should support an investment decision.

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## From Raw Business Data to an Evaluation Framework

I started by breaking the investment assessment into five areas.

### 1. Financial Strength

This area looked at whether the underlying financial position of the business was healthy and sustainable.

The intention was to avoid relying on revenue alone and instead consider measures that could provide a broader picture of financial performance.

### 2. Operational Performance

A financially attractive company can still have operational weaknesses.

This category was intended to capture how effectively the business was operating and whether its underlying performance supported its financial results.

### 3. Growth

Growth needed to be considered separately because current performance and future potential are not the same thing.

The framework therefore included measures that could help identify whether the business was expanding and whether that growth appeared meaningful.

### 4. Customer Health

Customer behaviour can reveal problems that financial statements may not immediately show.

Measures related to retention, concentration, repeat behaviour and customer stability were therefore treated as part of the investment assessment rather than as purely operational metrics.

### 5. Risk

The final area focused on indicators that could materially change the attractiveness of an opportunity.

Rather than allowing strong performance in one area to completely hide a serious weakness elsewhere, risk was designed to remain visible throughout the assessment.

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## The 28-KPI Framework

After breaking the problem into these areas, I developed a framework containing **28 KPIs**.

One of the main decisions was to avoid creating a dashboard full of metrics simply because the data was available.

Each KPI needed to answer a useful question.

For example:

**Financial:** Is the company financially healthy?

**Growth:** Is performance improving or deteriorating?

**Operations:** Is the business operating efficiently?

**Customer:** Is the customer base stable?

**Risk:** Is there anything that could materially weaken the investment case?

This made the framework easier to explain because every metric had a reason for being included.

It also helped separate three different things that are often mixed together:

**data**, which tells us what happened;

**metrics**, which summarize performance;

and **decision criteria**, which determine why that performance matters.

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## Designing the Investment Score

The next challenge was comparison.

Looking at 28 individual KPIs is useful during detailed analysis, but it is not efficient when several opportunities need to be reviewed.

I therefore proposed an **Investment Score from 0 to 100**.

The idea was to convert individual KPI performance into normalized scores and then combine them using defined weights.

Conceptually:

**Investment Score =  $\Sigma$  (KPI Score  $\times$  KPI Weight)**

The purpose of weighting was important.

Not every KPI should contribute equally to an investment decision. A minor operational measure, for example, should not automatically carry the same influence as a major financial or risk indicator.

The scoring model therefore provided a way to summarize the assessment while keeping the individual components available for review.

I deliberately treated the score as a **decision-support measure rather than a decision by itself**.

A company scoring 78 should not automatically be considered a better investment than one scoring 72 without understanding why those scores differ.

The underlying KPI performance still matters.

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## Making Risk Visible

One weakness of composite scoring models is that averages can hide problems.

For example, an opportunity could perform strongly across growth and financial indicators while having one significant risk factor.

If everything is simply averaged together, that weakness may become less visible.

For that reason, the solution was designed so that risk indicators could be shown separately through alerts and supporting views rather than being buried inside the overall score.

This allowed a reviewer to see both:

**How attractive does the opportunity look overall?**

and

**What should I investigate before making a decision?**

That distinction made the framework more useful than a simple ranking system.

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## Power BI Dashboard Design

Once the evaluation logic was established, I translated it into a proposed Power BI structure.

The reporting experience was divided into five views.

### Investment Overview

A high-level view of the investment opportunity, including the overall score and major performance indicators.

This was intended for someone who wanted to understand the position quickly before moving into detailed analysis.

### Investment Evaluation

A deeper view showing how the business performed across the different KPI categories.

Instead of seeing only the final score, users could identify which areas were strengthening or weakening the assessment.

### Business Profile

This view provided the business context behind the numbers.

The purpose was to prevent the evaluation from becoming disconnected from the company being assessed.

### Portfolio Monitoring

The framework was also designed with portfolio-level monitoring in mind.

Rather than evaluating a business once and forgetting about it, the same measures could be monitored over time to identify changes in performance.

## Risk & Alerts

This view concentrated on exceptions and areas requiring attention.

The objective was simple: users should not have to search through dozens of measures to discover an important warning sign.

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## A Key Design Decision: Don't Hide the Logic

One of the most important choices I made was keeping the framework explainable.

A sophisticated score is not particularly useful if nobody can explain why a company received it.

For every overall assessment, a reviewer should be able to trace the result back to:

**Investment Score → Evaluation Category → KPI → Underlying Business Data**

That traceability was important both from a Business Analysis perspective and from an investment decision perspective.

It makes discussions easier because stakeholders can challenge an assumption, weight or KPI without having to reject the entire framework.

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## What This Project Taught Me

The biggest lesson from this project was that dashboards are only as useful as the decision logic behind them.

It is relatively easy to place 20 or 30 metrics on a screen.

The harder questions are:

**Why does this metric matter?**

**What decision will it influence?**

**How should it be interpreted?**

**What happens when different indicators contradict each other?**

**How much influence should each factor have?**

Working through those questions changed the project from a reporting exercise into a Business Analysis problem.

It also reinforced something I have seen in other analytical work: decision-makers usually do not need more data. They need a clearer way to interpret the data they already have.

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## Business Value

The framework gave ReferMe Investments a structured approach for reviewing opportunities instead of relying on disconnected metrics.

The proposed solution provided:

- one consistent evaluation framework across investment opportunities;
- 28 defined KPIs organized around five business dimensions;
- a comparable 0–100 Investment Score;
- visibility into the factors influencing the overall assessment;
- dedicated treatment of risk and warning indicators;
- a Power BI structure suitable for both high-level review and detailed analysis;
- a foundation that could later be refined as more investment and performance data became available.

Most importantly, the framework did not try to replace investment judgment.

It organized the information needed to make that judgment.

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## Tools & Skills Used

**Business Analysis:** Requirements Analysis, KPI Definition, Business Rules, Stakeholder Requirements, Decision Framework Design, Process Thinking, Documentation

**Analytics:** KPI Analysis, Weighted Scoring, Performance Evaluation, Risk Indicators

**Visualization:** Power BI, Dashboard Requirement Design, KPI Reporting

**Business Domain:** Investment Evaluation, Business Performance Analysis, Portfolio Monitoring

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## Final Takeaway

ReferMe Investments was a useful example of where Business Analysis and Data Analytics overlap.

The problem was not simply, *“How do we visualize investment data?”*

The more important question was:

**“How do we turn different pieces of business information into a consistent evaluation that someone can understand, question and use?”**

That is what I focused on building.

The final framework combined 28 KPIs, five evaluation areas, a proposed 0–100 scoring model, risk visibility and a structured Power BI reporting approach.

Rather than producing another dashboard full of numbers, the goal was to make the reasoning behind an investment assessment easier to see.

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